TIKTOK'S PLATFORM STRATEGY

Competitive Advantage, Ecosystem Dynamics, and Institutional Constraints

Research Portfolio Report

A Theory-Driven Qualitative Case Study

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Abstract

How can a fast-growing digital platform sustain competitive advantage when its growth model simultaneously intensifies imitation, monetization pressures, and institutional scrutiny? This qualitative case study examines **TikTok**'s **international expansion and platform strategy** through multi-sided platform theory, the resource-based view, dynamic capabilities, and institutional theory.

Drawing on an Ivey case in class, contemporary industry reporting, a 2023 analysis in The Economist, management-course materials, and academic research, the study traces the interdependence of **algorithmic discovery**, **creator participation**, **paid acquisition**, and **governance**. It finds that TikTok's growth is **more plausibly explained by complementary platform-building mechanisms** than by algorithmic superiority alone. It further distinguishes attention generation from value capture: a high-engagement video format can command attractive advertising prices while generating comparatively low advertising revenue per viewing hour. Competitive imitation and host-country restrictions create distinct threats to the portability and durability of platform capabilities. Rival explanations are evaluated for each mechanism, and four bounded research propositions are advanced.

The report concludes with a **sequenced strategic response** combining institutional resilience, creator ecosystem investment, and selective monetization experimentation.

Keywords: TikTok; multi-sided platforms; network effects; resource-based view; dynamic capabilities; institutional legitimacy; value capture; qualitative case study.

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1. Introduction

Digital platforms often expand by orchestrating interactions rather than by producing all of the goods or services consumed on their systems. Their growth depends on both the size of participant groups and the quality of matches among them. TikTok is an unusually revealing case because its rise challenged incumbent social networks while its ownership structure and content governance attracted sustained regulatory attention. The resulting managerial problem is not simply whether the platform can attract users, but whether it can preserve the economic and institutional conditions under which attention becomes a sustainable business.

The central research question is: **How can an algorithm-driven international digital platform sustain competitive advantage while balancing ecosystem growth, monetization, competitive imitation, and host-country institutional constraints?** Four subsidiary questions organize the analysis: (1) **how are viewers, creators, and advertisers coordinated**; (2) **which mechanisms helped TikTok overcome initial entry barriers in the United States**; (3) **which capabilities might be defensible rather than merely valuable**; and (4) **how do governance and political constraints reshape feasible strategic choices?**

This study contributes an integrated explanatory framework. Its distinctive analytical move is to connect platform matching and resource complementarity with the institutional conditions of market access. The approach is consistent with the case-based emphasis on explicit constructs, rival explanations, and analytically bounded propositions discussed by Eisenhardt (1989) and Eisenhardt and Graebner (2007).

2. Case Background

2.1 Expansion, product architecture, and the competitive field

ByteDance built capabilities in algorithmic content recommendation before TikTok's international expansion, including experience with Toutiao. Douyin launched in China in 2016, while TikTok entered international markets in 2017. ByteDance's acquisition of Musical.ly and subsequent integration gave the expanding service access to an established short-video audience. The Ivey case describes strong download growth, investment in international marketing, creator recruitment, and increasing rivalry from established technology firms (Zhang, 2021). These developments form a sequence of interconnected strategic moves, not an experiment that isolates any one growth driver.

By 2020, Facebook had discontinued its stand-alone Lasso product and emphasized Instagram Reels; Snapchat developed Spotlight; YouTube entered short-form video through Shorts. The competitive question shifted from whether rivals could copy a short-video interface to whether they could combine the format with pre-existing social graphs, advertising infrastructure, and distribution advantages. In this setting, product imitation and ecosystem imitation must be analyzed separately.

2.2 Governance and international exposure

TikTok faced scrutiny related to content moderation, young users, data handling, ownership, and national security. India banned TikTok and other Chinese applications in 2020; U.S. officials considered restrictions on the company's operations. The Ivey case discusses both publicly articulated security concerns and

broader geopolitical interpretations. Neither should be treated as a proven single cause of government decisions. Zeng and Kaye (2022) additionally show why visibility moderation—control over the reach of content—creates governance challenges that extend beyond removing prohibited material.

2.3 Subsequent industry transformation

A March 2023 Economist analysis argues that TikTok helped accelerate the shift from friend-centered feeds to algorithmically selected short videos. It also highlights a potential commercial trade-off: short-form video consumed substantial attention but, on the reported estimates, monetized viewing time less effectively than mature social feeds. These observations extend the strategic discussion beyond entry and competition toward the economics of the format itself (The Economist, 2023).

Period	Observed development	Strategic interpretation
2016–2018	Douyin/TikTok launches; Musical.ly acquisition and integration	International seeding and access to content supply
2019–2020	Creator recruitment, marketing investment, rapid adoption	Multiple complementary growth channels
2020–2021	Lasso/Reels, Spotlight, Shorts; India ban and U.S. scrutiny	Imitation and non-market constraints
2023	Industry shift toward algorithmic short video; monetization debate	Format diffusion and value-capture challenge

3. Methodology

3.1 Design, unit of analysis, and sources

The research uses an explanatory, theory-driven qualitative single-case design. The unit of analysis is TikTok's platform-level strategy, with embedded attention to U.S. market entry, creator and advertiser participation, and cross-border governance. The main documentary source is the Ivey case by Zhang (2021), complemented by The Economist (2023), MBA MGT 235 Strategic-Management course materials. Public academic and industry sources provide theoretical context and competing interpretations.

The source base is deliberately heterogeneous. A teaching case organizes published events around a decision problem; an industry article interprets commercial trends; academic studies develop concepts or examine particular governance processes; and course materials establish the strategic frameworks relevant to the inquiry. Claims are therefore attributed according to their evidentiary function. Reported market estimates are treated as estimates, not independently audited firm disclosures.

3.2 Analytical procedure

Analysis proceeded through five steps: first, review the chronology of entry, imitation, monetization, and regulation; second, map participant groups and value exchanges; third, connect observations to platform economics, RBV, dynamic capabilities, and institutional theory; fourth, formulate rival explanations and disconfirming observations; and fifth, compare strategic responses under market-access and organizational constraints. Following Eisenhardt (1989), theoretical coherence and grounding in evidence are prioritized over the mere accumulation of frameworks.

3.3 Scope and interpretive discipline

The analysis concentrates on the emergence and early internationalization of TikTok, with later published scholarship and industry evidence used to assess the evolution of its strategic challenges. It does not assume that a subsequent observation was available to executives at an earlier decision point. Nor does it infer that a strategy is optimal merely because a firm subsequently succeeded. These limits are important in a retrospective case with uneven data availability.

4. Theoretical Framework

4.1 Multi-sided platforms and network effects

Multi-sided platform theory focuses on interdependent groups whose participation generates cross-group value (Rochet & Tirole, 2003; Eisenmann et al., 2006). For TikTok, creators provide content, viewers contribute attention and behavioral signals, and advertisers fund commercial activity. Regulators and competitors are consequential stakeholders but not necessarily transaction sides of the core platform. Cross-side network effects may be positive, but congestion, advertising load, and unequal creator visibility can make marginal participation less valuable.

A key distinction is between network size and matching quality. A personalized feed can make a relatively small pool of content useful to a new viewer by identifying relevant material without requiring a mature friend network. Yet an algorithm cannot compensate indefinitely for poor content supply, and recommendation concentration may disadvantage creators. Platform value is thus better conceptualized as a function of participation, content quality, matching, and governance than as a function of user counts alone.

Figure 1. Three-sided platform and value exchange

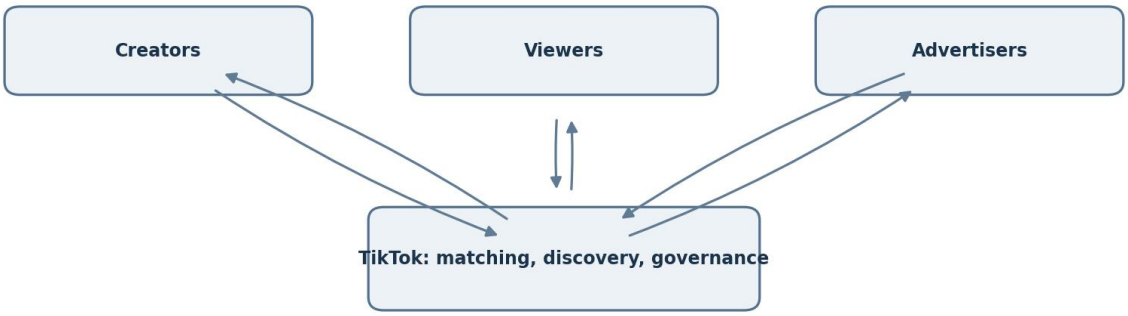


Figure 1. Analytical representation of TikTok's core platform sides. Arrows indicate mediated value exchange.

4.2 Resource-based view and complementary assets

The resource-based view links competitive advantage to valuable and difficult-to-replicate firm resources (Barney, 1991). ByteDance's recommendation expertise appears valuable because it enables personalized discovery and supports engagement. However, value does not establish rarity, inimitability, or non-substitutability. Rivals can develop recommendation systems, acquire creators, or leverage their own social and advertising infrastructures. The more defensible hypothesis is that TikTok's advantage depended on

complementarities among algorithms, behavioral feedback, creator incentives, and organizational experimentation.

4.3 Dynamic capabilities and institutional theory

Dynamic capabilities concern how organizations sense opportunities, seize them, and transform their asset bases as environments change (Teece, 2007). TikTok's strategic problem includes not only technical innovation but also organizational adjustment to imitation and regulation. Institutional theory, meanwhile, distinguishes regulative constraints from normative expectations and shared understandings of legitimacy (Scott, 2014). A platform can be attractive to users yet remain vulnerable to restrictions that limit its ability to operate in a national market. Compliance measures, perceived legitimacy, and geopolitical conflict are related but analytically distinct.

Figure 3. Resource complementarity and strategic outcomes

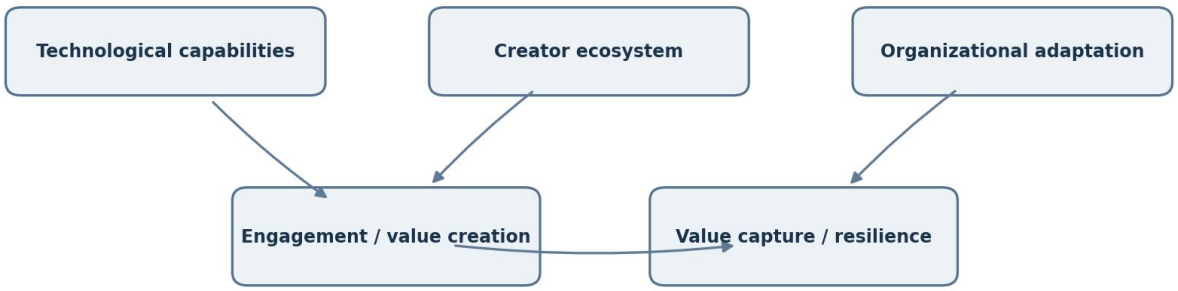


Figure 2. Resource complementarity, value creation, and commercial resilience.

5. Findings

5.1 Platform orchestration as a growth mechanism

TikTok's platform design linked low-friction creation to algorithmic discovery. Editing tools, music, challenges, and the prospect of broad distribution lowered the perceived cost of participating as a creator. Viewers encountered a personalized feed rather than relying exclusively on existing social connections. Advertisers could participate through in-feed campaigns, hashtag challenges, and creator partnerships. The Ivey case documents promotional examples involving brands such as Chipotle and Too Faced, illustrating that users could become both consumers and distributors of branded content (Zhang, 2021). These examples demonstrate possible value creation pathways.

The orchestration challenge is balancing these groups. More advertisements can increase short-run revenue but potentially reduce viewing quality. Creator monetization may stimulate supply while also favoring established accounts and increasing commercial content. Stronger moderation can improve safety but create complaints about opaque distribution decisions. Accordingly, governance is part of the platform's value proposition rather than merely a legal cost.

5.2 Entry in the United States: multiple mechanisms, not a single cause

The classic chicken-and-egg problem arises when viewers want appealing content but creators want an audience before investing effort. TikTok appears to have attacked both sides. Musical.ly integration offered a base of creators and users; celebrity partnerships and incentives seeded attractive content; marketing on established networks recruited viewers; and personalized discovery improved the likelihood that new users encountered relevant videos. These mechanisms are complementary: paid acquisition is more productive when the first session is engaging, and algorithmic matching is more useful when content is sufficiently varied.

Figure 2. Competing and complementary entry mechanisms

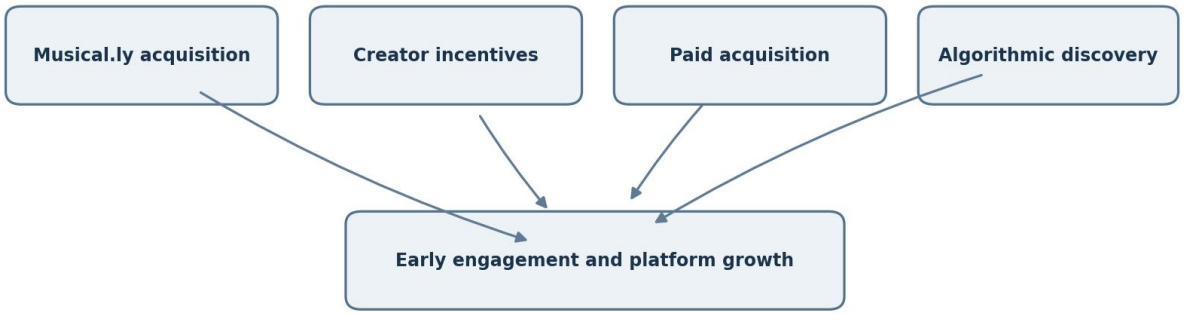


Figure 3. Candidate explanations for early U.S. growth.

A purely algorithm-centered account is therefore incomplete. Acquisition-led growth and celebrity-driven awareness could explain substantial adoption without assuming an exceptional recommendation advantage. Conversely, an acquisition-only explanation overlooks how the service continued to attract users and creators beyond the transferred Musical.ly network. The most defensible conclusion is that platform seeding and algorithmic discovery jointly formed a plausible entry system, while their relative weights remain unknown.

5.3 Competitive advantage is systemic but contestable

The For You feed can be valuable without being permanently defensible. Meta's move from Lasso to Reels suggests a strategic response that exploited distribution inside an incumbent ecosystem rather than launching another stand-alone network. Competitors could also subsidize creators, copy video-editing conventions, and improve personalization. What is harder to reproduce may be the coordination of data learning, creator culture, organizational routines, and product experimentation; yet the case lacks direct evidence of the costs of imitation or long-run excess returns. Resource complementarity is a credible hypothesis rather than an established barrier to entry.

5.4 Attention and monetization are different outcomes

The Economist (2023) reports an estimate of $0.31 in advertising revenue per U.S. user-hour for TikTok, approximately one-third of Facebook's rate and one-fifth of Instagram's. The implied comparison figures are about $0.93 and $1.55 respectively; they are derived from the article's rounded ratios, not separately reported measurements. The estimates contrast with the Ivey case's discussion of relatively high quoted

CPMs for some TikTok advertising products. These claims are compatible because the price of an ad impression differs from revenue earned over an hour of user attention.

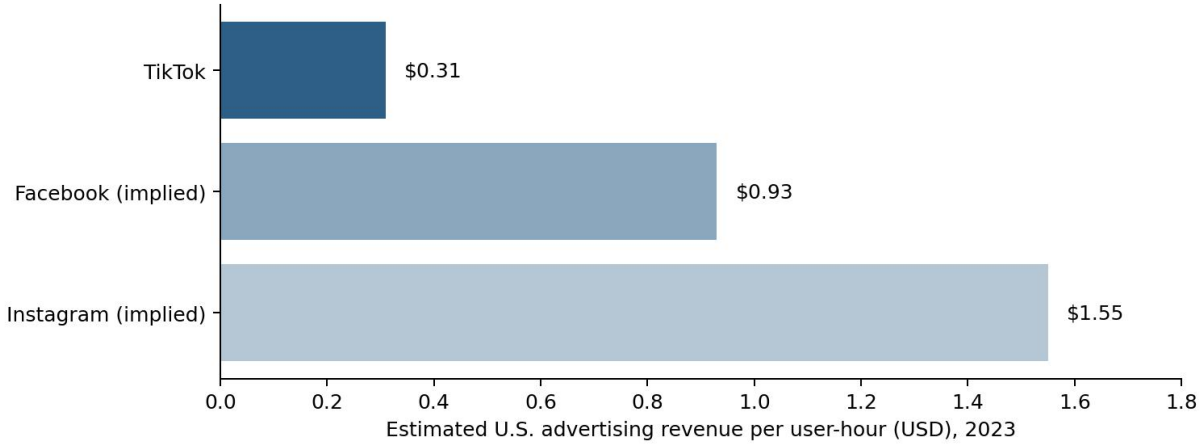


Figure 4. Illustrative 2023 U.S. advertising monetization comparison based on reported and implied values in The Economist (2023).

Conceptually, advertising revenue per viewing hour depends on sellable ad opportunities, fill rate, and realized price per impression. Even a high CPM may coexist with low revenue per hour if ad opportunities are limited or unsold. Additional explanations include differences in purchase intent, advertiser production capabilities, and the maturity of ad technology. The available evidence does not establish which explanation dominates. The broader strategic implication is that user attention is an input to value capture, not an adequate measure of it.

5.5 Institutional constraints alter the feasible strategy set

In India, restrictions disrupted the ability to exploit an otherwise attractive audience. In the United States, data security and ownership concerns created uncertainty around continued operation. These episodes show that a platform's technological or commercial assets cannot be assumed portable across institutional settings. Market access may be a binding constraint: improving an advertising algorithm is economically irrelevant in a jurisdiction where the service cannot legally operate.

However, policy outcomes can arise from multiple causes. Security concerns, regulatory legitimacy, geopolitical bargaining, and protectionist incentives may overlap. Zeng and Kaye (2022) further demonstrate that content visibility and creator experiences complicate the platform's claim to accountable governance. It would be unwarranted to infer that a particular data-storage arrangement alone could resolve these pressures. The relevant managerial task is to design technical, organizational, and relational governance mechanisms while recognizing that external political decisions remain partly beyond firm control.

6. Rival Explanations and Critical Evaluation

Focal claim	Plausible rival explanation	Evidence needed to distinguish
Algorithms solved cold start	Acquisition, creator incentives, or paid promotion drove adoption	Market-level cohorts; pre/post retention; acquisition spending
Network effects generated growth	Content quality and entertainment demand were decisive	Creator supply and viewer retention over time

Algorithms are hard to imitate	Incumbents can reproduce matching using existing data and distribution	Comparative recommendation quality and profitability
Video format depresses monetization	Advertiser maturity and user composition explain the gap	Inventory, fill rates, CPM, cohort-level revenue
Legitimacy determines access	Geopolitical conflict drives restrictions independently	Policy process tracing across countries

The rivals matter because the same observed success can be consistent with different mechanisms. For example, rising downloads following a marketing campaign do not show that network effects increased; nor does the existence of Reels prove that TikTok's recommendation capability was replicated. This case is best treated as a disciplined comparison of explanations.

Three threats to inference deserve particular attention. First, selection on a successful platform invites retrospective attribution of every observed capability to performance. Second, simultaneity between content supply, recommendation quality, and user engagement makes directional claims difficult. Third, evidence spans distinct market environments and dates, so a 2023 monetization estimate should not be assumed to describe the exact economics of the 2021 platform. These concerns narrow the strength of conclusions without eliminating the analytical value of the case.

7. Strategic Implications

7.1 Strategic alternatives

Four strategic approaches follow from the analysis. Aggressive international expansion prioritizes scale and creator acquisition but increases exposure to marketing costs and institutional barriers. Monetization diversification develops creator services, brand matching, virtual gifting, and commerce but adds execution and governance complexity. Legitimacy-first investment emphasizes transparent policies, local accountability, and regulatory engagement but may defer revenue growth without guaranteeing policy acceptance. A sequenced hybrid combines institutional safeguards in exposed markets with selective creator and monetization experiments elsewhere.

Alternative	**Primary benefit**	**Principal risk**	**Conditions favoring choice**
International expansion	Scale and ecosystem reach	Regulatory exposure and acquisition cost	Stable market access; strong retention
Monetization diversification	Broader value capture	Complexity and user-experience trade-offs	Proven engagement; merchant/creator demand
Legitimacy-first	Operating resilience	Cost without guaranteed acceptance	Binding regulatory uncertainty
Sequenced hybrid	Flexibility across constraints	Coordination burden	Strong managerial capacity and staged investment

7.2 A constrained, sequenced recommendation

A sequenced hybrid is a reasonable managerial recommendation, not an empirically demonstrated optimum. The first step is to establish the legal and institutional feasibility of continued operation in priority markets. The second is to protect the creator-viewer experience through transparent distribution and moderation policies, creator incentives, and product improvements. The third is to pilot monetization options using observable measures such as revenue per user-hour, creator earnings, advertiser repeat purchase, and user

retention. The fourth is to reallocate resources in response to market access, performance, and execution costs.

A weighted scorecard can organize discussion, but weights and scores must not be mistaken for evidence. A more defensible decision rule first removes options that violate non-negotiable legal, financial, or operational constraints and then compares remaining options on growth, value capture, ecosystem health, and resilience. Under different regulatory conditions or organizational capabilities, the preferred strategy could change.

7.3 Implications for international business and governance

The case suggests that digital internationalization differs from simple geographic replication. Recommendation software can travel across borders, but local content norms, moderation expectations, ownership perceptions, and regulatory authority do not transfer automatically. Managers should distinguish technological standardization from governance adaptation. The organization may preserve a common discovery architecture while developing locally credible accountability arrangements and escalation processes.

8. Limitations

The analysis is based on published documents and a single focal firm. It has no access to internal algorithm performance, randomized experiments, advertiser contracts, complete financial records, or policymaker decision processes. The case contains illustrative campaigns and third-party estimates whose representativeness is uncertain. It cannot measure the relative effects of acquisition, recommendation, creator incentives, and paid marketing on U.S. growth. Likewise, cross-platform advertising comparisons may reflect differences in audience composition, measurement methods, and product maturity. The report offers analytical generalization and testable mechanisms, not population-level statistical inference.

The choice of a prominent success case also raises survivorship and hindsight concerns. Cross-platform comparison with less successful short-video entrants and longitudinal evidence would improve discrimination among rival explanations. Institutional outcomes would benefit from structured process tracing across jurisdictions. These limits are not peripheral: they define what can legitimately be concluded from a qualitative documentary case.

9. Research Propositions and Future Research

Proposition 1 (algorithmic discovery and entry). Conditional on sufficient content supply, algorithmic discovery reduces the dependence of early platform engagement on pre-existing social ties. This could be examined using early-user cohorts with variation in follower networks and recommendation exposure, while accounting for acquisition channel and content quality.

Proposition 2 (resource complementarity). Algorithmic capability and creator ecosystem development interact positively in shaping platform engagement, beyond their separate contributions. Multi-platform longitudinal designs could test the interaction using comparable engagement and creator-supply measures; a weak or absent interaction would challenge the complementarity account.

Proposition 3 (value-capture constraints). Differences in sellable advertising inventory and advertiser participation explain variation in advertising revenue per user-hour beyond variation in user engagement. A

comparative study should distinguish realized CPM, fill rate, ad frequency, and user composition, rather than using engagement as a proxy for profitability.

Proposition 4 (institutional moderation). Stronger host-country regulatory restrictions weaken the association between platform technological capabilities and realized international commercial performance. A cross-country design would need to separate formal restrictions from perceived legitimacy and geopolitical conditions, ideally exploiting policy timing and comparable market trajectories.

Together, these propositions connect platform strategy to capability-based and institutional explanations.

10. Conclusion

TikTok illustrates a strategic tension at the center of contemporary digital platforms. The capabilities that enable rapid content discovery and participation can create enormous attention, yet attention alone does not secure revenue, durable differentiation, or permission to operate. A satisfactory account of TikTok's rise must combine **acquisition** and **creator seeding** with **algorithmic matching**; a satisfactory account of its future must **combine competitive adaptation and monetization with institutional governance**.

The case therefore supports an **integrated perspective** in which platform advantage is contingent on the complementarity of resources and the institutional feasibility of exploiting them.

For strategic management, the most useful conclusion is not that a single technology explains success, but that the orchestration of technology, participants, commercial incentives, and legitimacy determines which strategic opportunities remain available.

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Appendix: Suggested Measures for Empirical Extension

Construct	**Potential indicator**	**Identification concern**
Cold-start dependence	New-user retention by initial follower count	Selection into recommendation exposure
Creator ecosystem quality	Active creators; content diversity; creator earnings	Quality and quantity endogeneity
Recommendation capability	Engagement conditional on content and user cohort	Proprietary algorithms; measurement error
Value capture	Revenue per user-hour; ad fill; realized CPM	Cross-platform comparability
Institutional constraints	Policy restrictions; operating status; audit regimes	Geopolitical confounding